



Inceptum 2026 - Data Quest

India's Housing Credit Industry

India's Housing Credit — A System
That Grew But Left Many Behind

GitHub and Dashboard Link:

[Ashutosh-singh-data/Inceptum-2026---Data-Quest-Hansraj-Economics-Society](https://github.com/Ashutosh-singh-data/Inceptum-2026---Data-Quest-Hansraj-Economics-Society)



T E A M

D a t a Q u a n t

Ashutosh
Singh

Vivek
Anand

Industry Background & Problem

Credit Growth Landscape

Who Serves Whom

Geography of Credit Exclusion

Financial Health of Lenders

Policy Recommendation

The 4 Players

Player	Regulator	Funds From	Serves
PSU Banks	RBI	Deposits	Salaried, MSME, EWS/LIG
Private Banks	RBI	Deposits	NRI, Self-Employed, Developer
HFCs	NHB/RBI	Bonds/NCDs	Affordable Housing
NBFCs	RBI	Commercial Paper	MSME, Rejected Borrowers

The Growth Story

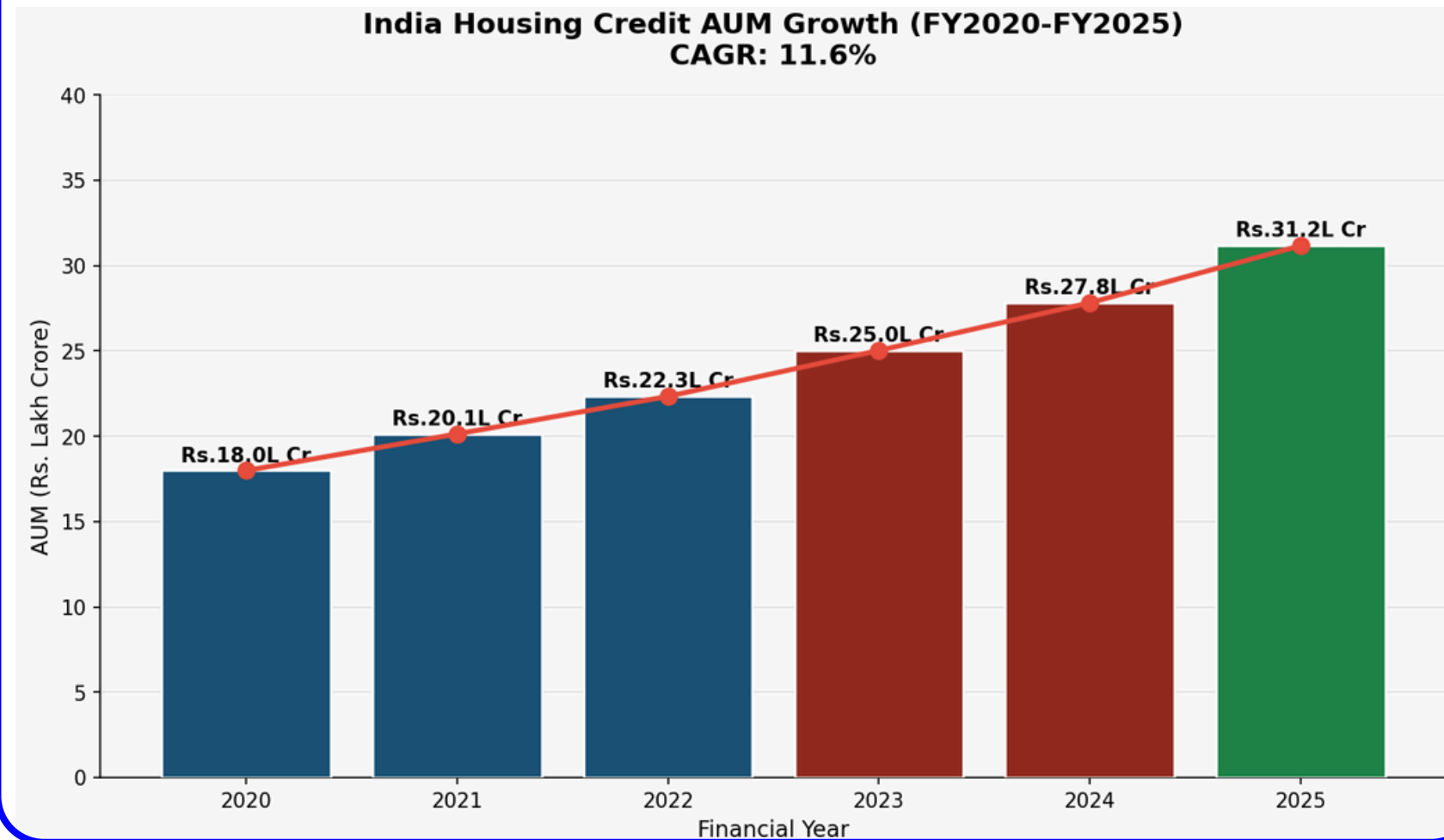
- Housing credit outstanding → ₹31.17 Lakh Cr by FY2025
- CAGR → 11.6% over 5 years
- 4 player types serving 6 borrower segments
- Covers Metro, Tier-2 and Tier-3 cities

**"India's housing credit system
has grown rapidly – but
has it grown equitably?"**

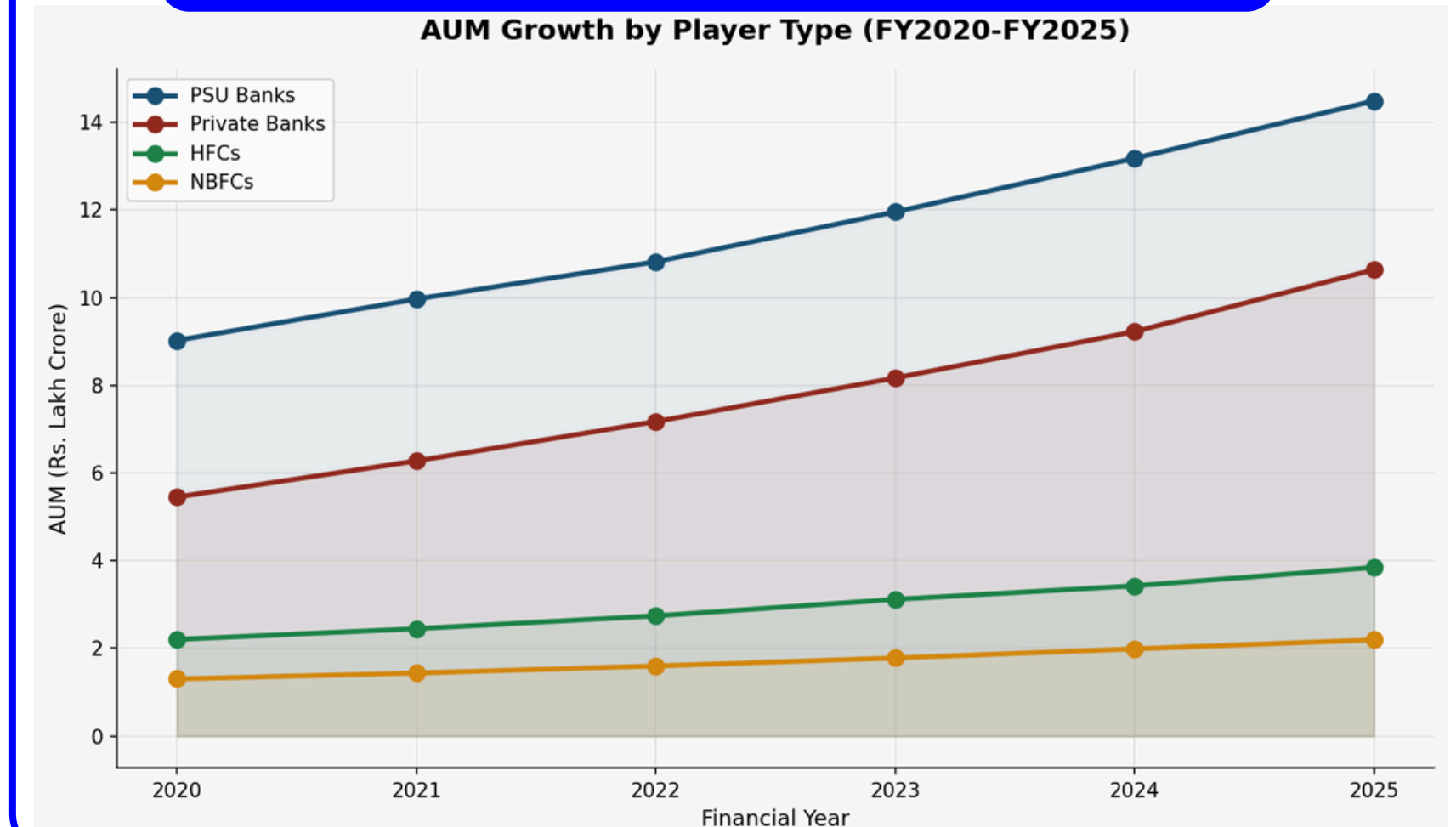
The Problem

- EWS/LIG = majority of India's housing demand
- But receive LOWEST share of formal credit
- Private Banks give EWS/LIG only ₹38.9 Cr vs ₹326 Cr to Salaried
- Lenders willing to serve poor → pay 8.78% CoF vs banks' 6.11%
- Result → Persistent credit gap at base of income pyramid

AUM Growth by FY



AUM Growth by Player



KPIs

FY2020 AUM
₹17.99 Lakh Cr

FY2025 AUM
₹31.17 Lakh Cr

CAGR
11.6%

Growth
+73% in 5 year

Key Insights

"Housing credit grew 73% in 5 years – but PSU Banks and Private Banks captured 90% of growth while HFCs and NBFCs serving poor borrowers remained marginal"

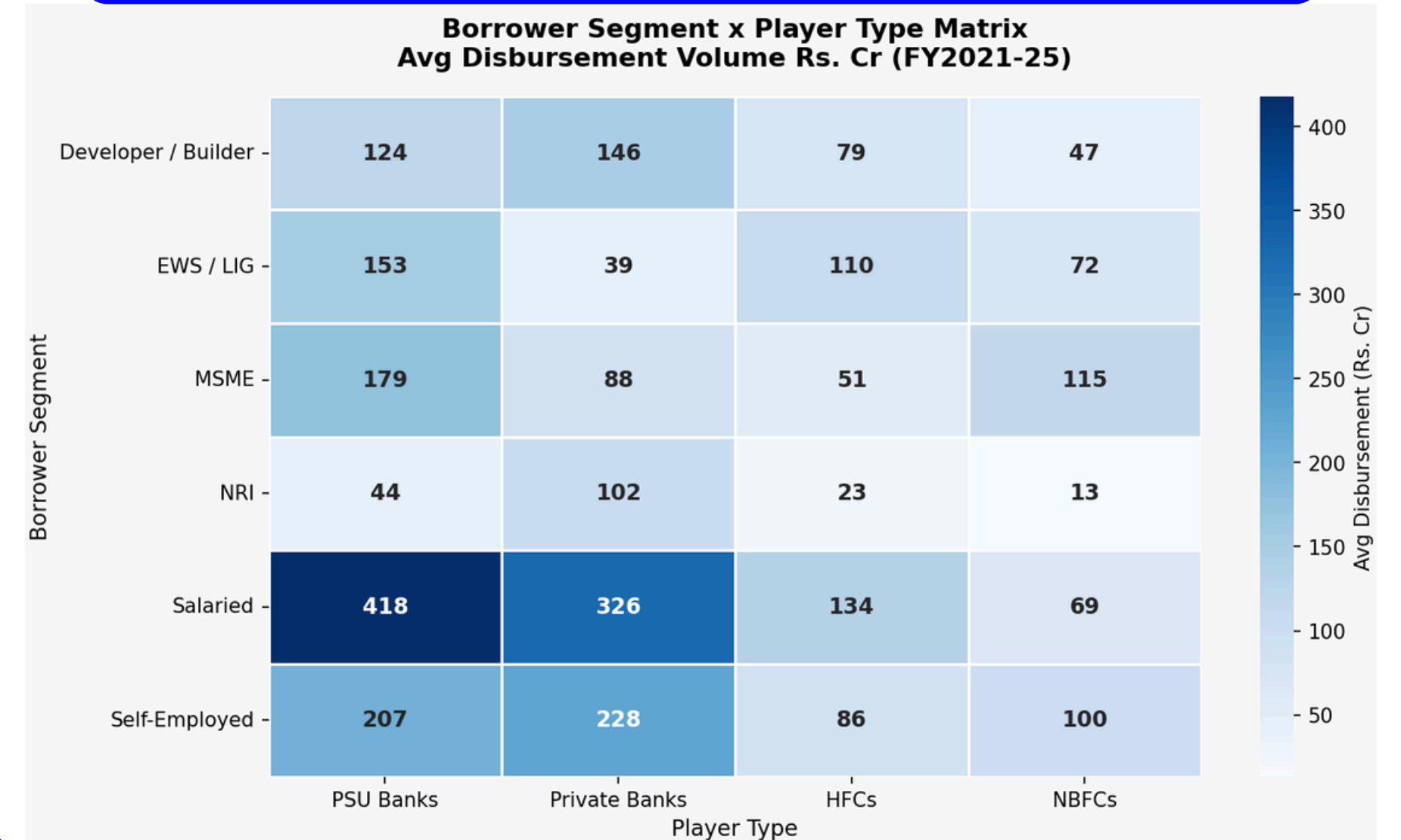
Key Insights

- PSU Banks dominate → ₹14.48L Cr (46% share)
- Private Banks fastest growing → ₹10.63L Cr
- HFCs → ₹3.84L Cr
- NBFCs smallest → ₹2.19L Cr

Dominant Players Per Segment

Player	Dominant Player	Avg ₹ Cr
Salaried	PSU Banks	₹418 Cr
Self-Employed	Private Banks	₹227 Cr
MSME	PSU Banks	₹178 Cr
Developer	Private Banks	₹146 Cr
EWS/LIG	PSU Banks	₹152 Cr
NRI	Private Banks	₹102 Cr

Avg Disbursement Volume (Cr)



The EWS/LIG Crisis

- EWS/LIG = LOWEST total disbursements → ₹373.6 Cr
- Private Banks give EWS/LIG only ₹38.9 Cr
- Same Private Banks give Salaried → ₹326 Cr
- That's an 8x disparity
- NRI gets ₹102 Cr despite tiny population

Key Insights

"Private Banks lend 8x more to Salaried than EWS/LIG borrowers – structural discrimination, not market failure"

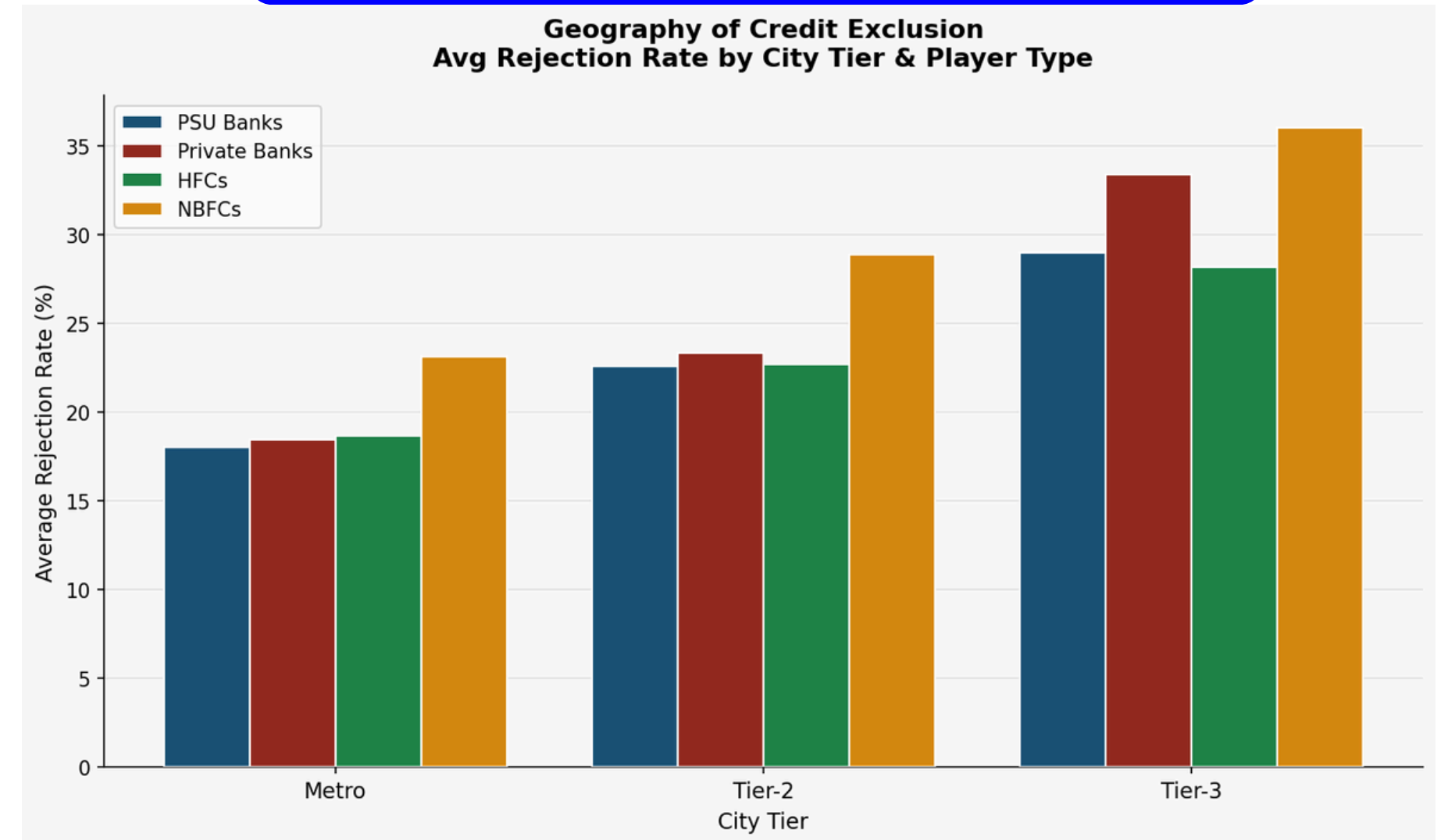
Why This Matters

- EWS/LIG = majority of India's housing demand
- Yet receive smallest formal credit share
- Private Banks actively avoid poor borrowers
- Only PSU Banks serve them – due to PSL mandate
- Without mandate → EWS/LIG gets nothing

Rejection Table

Player	Segment	City	Player	Rate
1	MSME	Tier-3	NBFCs	42.5%
2	MSME	Tier-3	Private Banks	42.3%
3	EWS/LIG	Tier-3	Private Banks	41.3%
4	EWS/LIG	Tier-2	Private Banks	38.8%
5	EWS/LIG	Tier-3	NBFCs	38.1%

Geography of Credit Exclusion



The Pattern

- **Segment** → MSME and EWS/LIG rejected most
- **Geography** → Tier-3 cities rejected most
- **Player** → Private Banks reject poor borrowers everywhere
- NBFCs willing to lend BUT still reject 42.5% → because borrowers have NO credit history

Key Insights

"Rejection is not random — it is concentrated at the intersection of poverty + geography. Tier-3 MSME borrowers face 42.5% rejection vs Metro salaried at just 9.1%"

Insight box

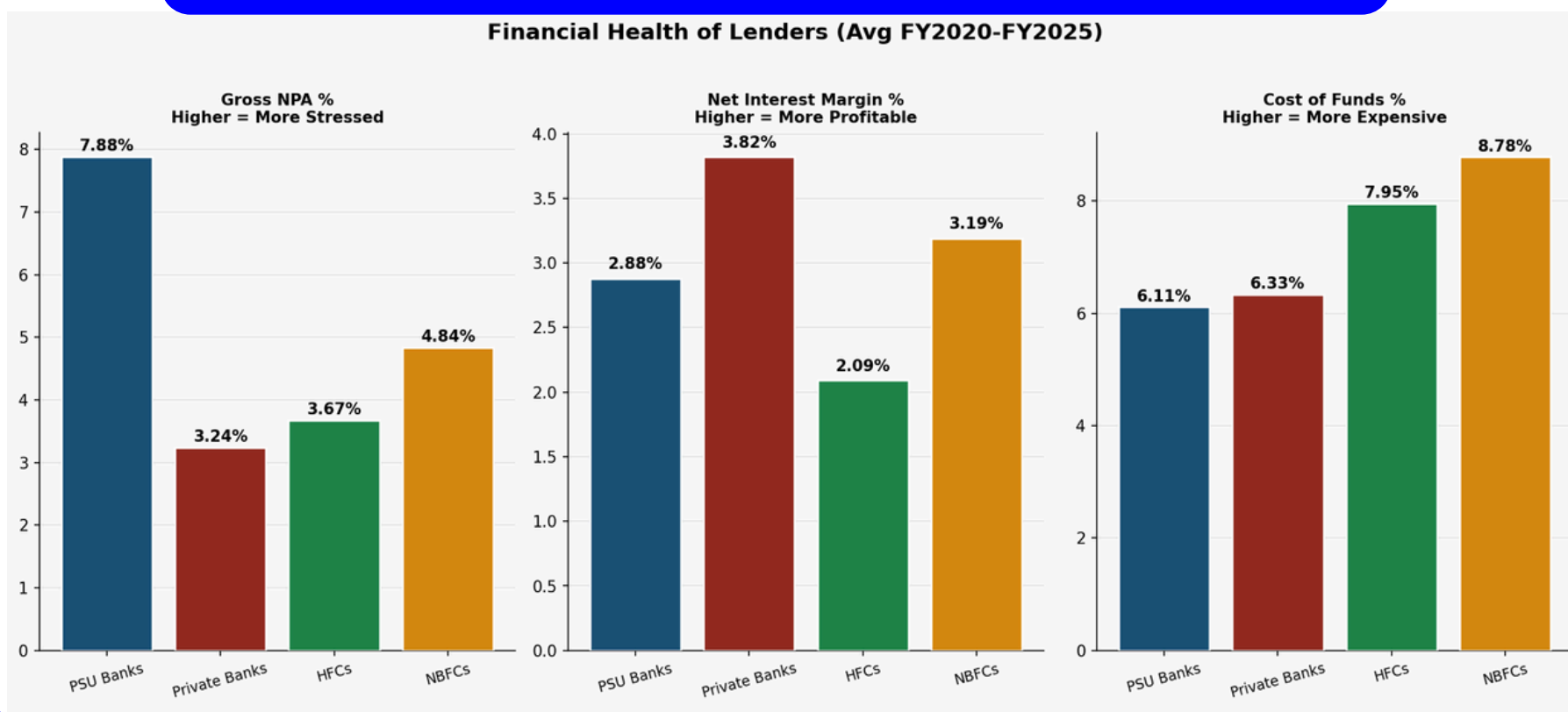
Metro avg rejection
~15-20%

Tier-2 avg rejection
~22-28%

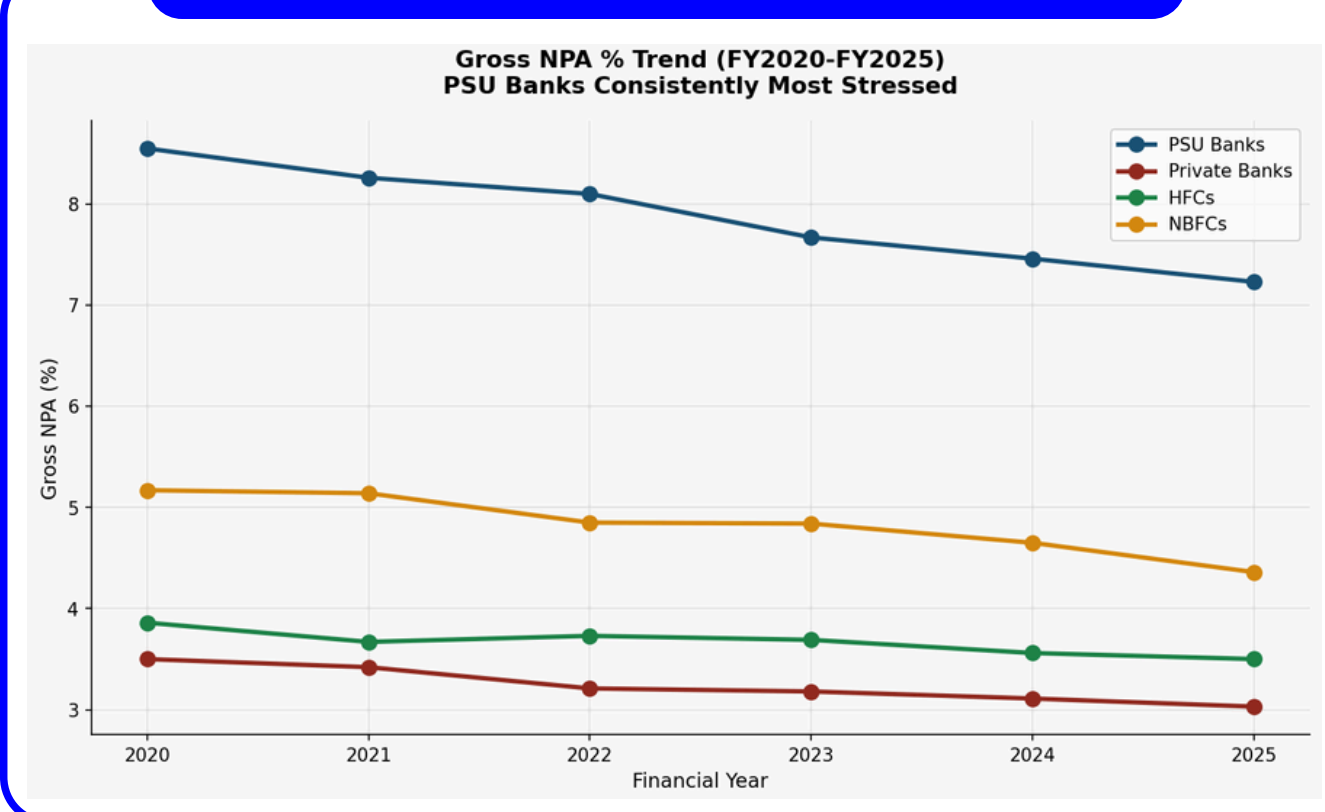
Tier-3 avg rejection
~35-43%

Gap between Metro and Tier-3
~27%

Financial Health of Lenders



NPA Trend Over Time



Financial Health Scorecard

Player	Gross NPA	NIM	CoF	Stress Level
PSU Banks	7.88%	2.88%	6.11%	NPA Crisis
NBFCs	4.84%	3.19%	8.78%	Funding Crisis
HFCs	3.67%	2.09%	7.95%	Margin Squeeze
Private Banks	3.24%	3.82%	6.33%	Healthiest

NPA Trend

- PSU Banks NPA improving → 8.55% (FY20) to 7.23% (FY25)
- But still 2.4x higher than Private Banks
- NBFCs CoF rising every year → 8.65% to 8.99%

Key Insights

"The lenders most willing to serve poor borrowers – HFCs and NBFCs – are under the most financial stress. Private Banks are healthiest but serve EWS/LIG least"

Why This Matters

PSU Banks

- 7.88% NPA = ₹1.13L Cr bad loans
- Makes them cautious → fewer new loans
- Especially hurt poor borrowers

NBFCs

- Pay 8.78% to borrow vs banks' 6.11%
- 2.67% funding disadvantage
- Forces them to charge higher interest
- Poor borrowers can't afford → rejection

HFCs

- NIM only 2.09% but CoF = 7.95%
- Margin squeeze getting worse every year
- Viability of affordable housing at risk

Private Banks

- Healthiest financially
- But serve poor borrowers least
- Proof that health ≠ equity

Our Diagnosis

Two root causes found from data:

Failure 1 – Information Gap

- EWS/LIG have no credit history.
- Banks say "we don't know if you'll repay".
- Result → 41.3% rejection in Tier-3.
- Even willing lenders like NBFCs reject them.

Failure 2 – Funding Gap

- NBFCs pay 8.78% CoF vs banks' 6.11%
- 2.67% disadvantage passed to borrowers
- Poor borrowers can't afford high interest
- Result → Loans unaffordable even if approved

Our Recommendation

Option C – NHB Refinance Window

- NHB gives HFCs/NBFCs funds at Repo Rate + 0.5% = ~6.75%
- Currently NBFCs pay 8.78% → saves 2.03%
- Condition → Only for EWS/LIG borrowers
- Fixes → Funding Gap directly

Option D – Unified Credit Bureau

- Aggregate GST + UPI + Utility bill data
- Build credit scores for informal borrowers
- EWS/LIG DO pay electricity bills and do UPI
- Fixes → Information Gap directly

Why C+D together?

C alone → Cheaper loans but still rejected
D alone → Credit score but loans still expensive
C + D → Approval + Affordable rate

"Our Round 1 analysis of Bajaj Finance confirmed NBFCs face 8-9% CoF vs banks' 6% — Option C directly addresses this structural gap"

Economic Logic + Limitations

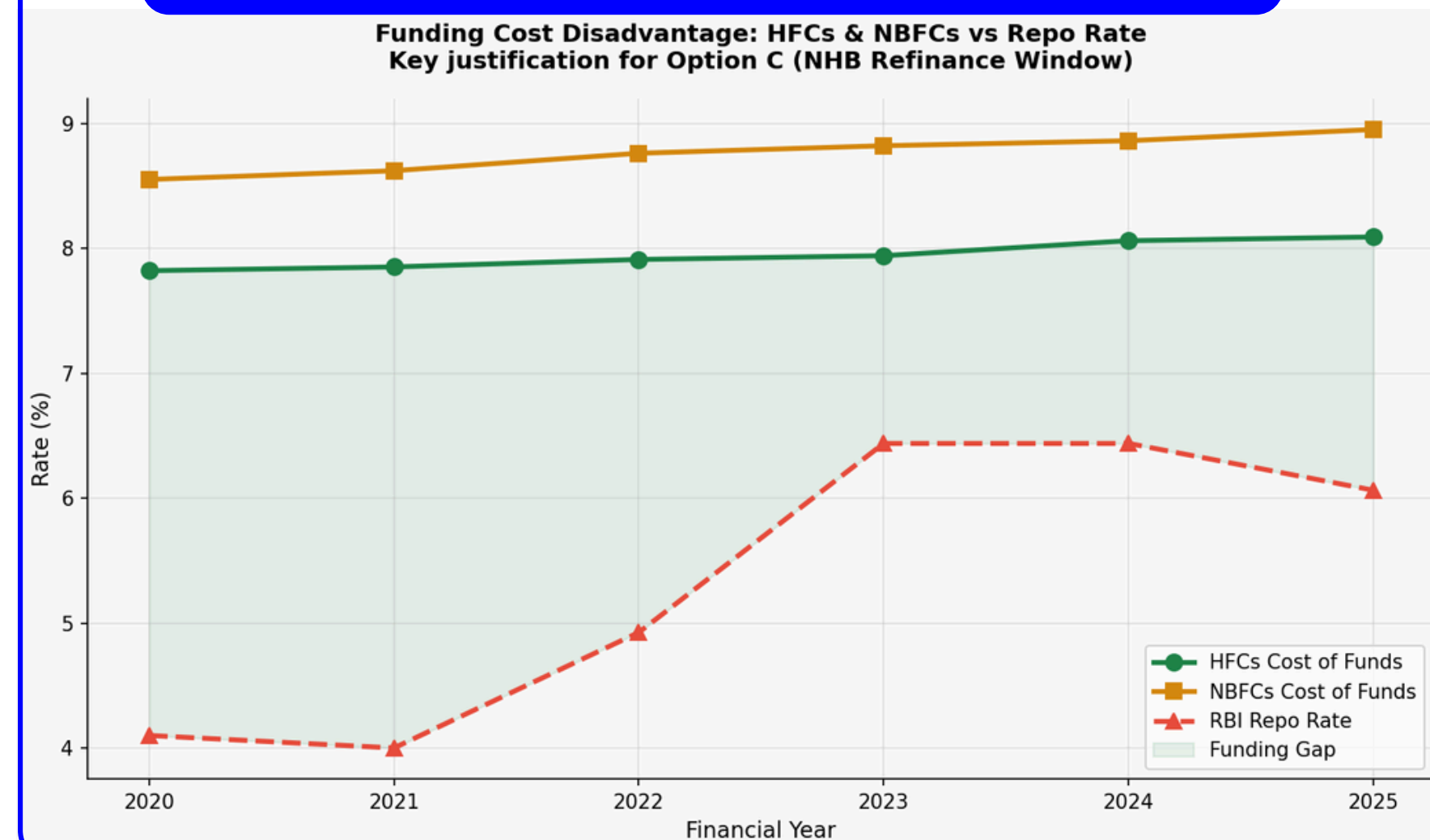
Economic Logic Chain

- NHB cuts NBFC funding cost → 8.78% to 6.75%
- NBFCs pass savings to borrowers → cheaper EMIs
- Credit bureau removes rejection barrier
- More EWS/LIG get loans → housing demand met
- More loans → more construction → GDP growth

What C+D Does NOT Solve

- PSU Bank NPA crisis (7.88%) → unaddressed
- Cash-only informal borrowers → still excluded from Option D
- Developer loan concentration in metros → unchanged
- Private Bank reluctance → needs separate PSL reform

Funding Cost Gap



Key Insights

"Option C+D targets both structural failures simultaneously – making credit affordable AND accessible for India's 373.6 Cr underserved EWS/LIG borrowers"

Resources :-

Data Source:

Dataset provided by - DataQuest — Inceptum 2026 Department of Economics, Hansraj College

Tools Used:

- Python — Pandas, Matplotlib, Seaborn
- Power BI Desktop
- Microsoft Excel

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